

Procurement Policy

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1. Purpose

This policy defines the rules and approval workflow governing the purchase of electronic components and services for VOLTORA Manufacturing Pvt. Ltd., a small and medium enterprise (SME) manufacturer of LED lighting, power electronics and IoT devices. It ensures purchases are made from approved suppliers at competitive prices, on time, and within the company's limited operating budget.

2. Scope

This policy applies to all procurement of components (LED chips, PCBs, battery cells, plastic enclosures, transformers, chips, solar panels, relays, connectors) and packaging materials for VOLTORA's single production unit and warehouse in Kochi.

3. Supplier Approval

All suppliers must be listed on the Approved Vendor List (AVL) before a Purchase Order can be raised.

New suppliers require a Vendor Evaluation Report scoring a minimum of 3.5/5 across quality, delivery, pricing and compliance criteria before onboarding.

Given the company's lean team, supplier evaluation is conducted jointly by the Procurement & Inventory Executive and the Managing Director.

4. Purchase Requisition & Approval Limits

Purchase Value (Rs.)	Approval Authority
Up to 25,000	Procurement & Inventory Executive
25,001 - 1,00,000	Managing Director
Above 1,00,000	Managing Director (with Accounts sign-off)

5. RFQ & Quotation Process

For purchases above Rs. 50,000, a Request for Quotation (RFQ) must be issued to a minimum of two approved suppliers. Quotations are compared on a Quotation Comparison Sheet covering unit price, lead time, payment terms and quality certification before award.

6. Purchase Order Terms

All Purchase Orders (PO) must specify material, quantity, unit price, delivery date and delivery location.

Standard payment terms follow the individual Supplier Contract, typically Net 15 to Net 45.

As a low-budget SME, VOLTORA favors smaller, more frequent order quantities to minimize working capital tied up in inventory.

7. Goods Receipt & Quality Acceptance

Components are accepted only after Incoming Inspection per the Incoming Inspection SOP and recorded on a Goods Receipt Note (GRN). Rejected material is returned to the supplier using a Return Note and logged in the Defect Report.

8. Related Documents

- Supplier Master List
- Approved Vendor List
- RFQ Template
- Quotation Comparison Sheet
- Vendor Evaluation Report
- Supplier Performance Report
- Supplier Contract Template